

Economic Growth and the Environment

Other things equal, more production tends to increase resource use and pollution.

- ▶ **Local damage**: city pollution harms nearby residents. Costs and benefits are concentrated in the same area, making coordination easier.
- ▶ **Global damage**: climate effects cross borders. International cooperation is harder because governments differ in priorities and commitments.
- ▶ **Policy tools**: clean-energy subsidies, emission limits, carbon prices, and environmental requirements on imports.

Source: Chapter 9; IPCC, AR6 Synthesis (2023); WTO, Trade Policy Tools for Climate Action (2023).